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What's News

Business & Finance

- ◆ **Pfizer is preparing to** sweeten its offer again for Metsera, the weight-loss drug startup at the center of a bidding war that also involves Novo Nordisk. **B1**
- ◆ **Tech stocks helped lift** major U.S. stock indexes, with the S&P 500, Nasdaq and Dow gaining 0.4%, 0.6% and 0.5%, respectively. **B11**
- ◆ **OpenAI Chief** Financial Officer Sarah Friar said that an IPO isn't coming in the near term, and said the company hopes the federal government might backstop the financing of future data-center deals. **B1**
- ◆ **France moved to** temporarily suspend Shein's website after authorities discovered sex dolls resembling children and weapons were being sold on the platform. **B4**
- ◆ **McDonald's said sales** in its most-recent quarter climbed after the company boosted spending on value meals, new products and marketing. **B1**
- ◆ **Toyota reported** stronger second-quarter net profit and raised its sales and earnings guidance even as it expects a \$9 billion blow from U.S. tariffs. **B2**
- ◆ **BMW said demand** is building for its latest all-electric sport-utility vehicle as the carmaker strives to stay competitive in an increasingly challenging market. **B2**
- ◆ **The Motion Picture** Association sent Meta Platforms a cease-and-desist letter over its use of the term "PG-13" in connection with teen Instagram accounts. **B1**
- ◆ **Starbucks baristas** authorized a strike after their union and the company failed to come to terms on a new contract. **B3**

World-Wide

- ◆ **Trump's global tariffs** ran into a skeptical Supreme Court, with justices across the spectrum expressing doubt that a 1970s emergency-powers law could be read to provide the president unilateral authority to remake the international economy and collect billions of dollars in import taxes without congressional approval. **A1**
- ◆ **Trump urged Republican** senators to jettison the filibuster to pass GOP-backed legislation and preserve the party's power in Congress after Democrats dominated Tuesday's elections. **A4, A6-7**
- ◆ **Putin told his top** security officials to draw up plans for potential nuclear weapons testing in case Trump orders the resumption of testing of the U.S. nuclear arsenal. **A8**
- ◆ **A federal judge ordered** the government to significantly improve conditions at an immigration detention facility in suburban Chicago that has become a locus of protests against Trump's crackdown. **A2**
- ◆ **The UPS cargo** plane that crashed in Kentucky was 34 years old, needed a critical repair on its fuel tank in September and was grounded for weeks before the crash, flight and maintenance records show. **A3**
- ◆ **Trump recently** expressed reservations to top aides about launching military action to oust Venezuelan President Nicolás Maduro, fearing that strikes might not compel him to step down. **A3**
- ◆ **American emergency** oil reserves are at their lowest levels in 40 years and at a time when Washington is flexing its muscles in combustible geopolitics, **A2**

CONTENTS	Markets Digest..... B8
Arts in Review..... A13	Opinion..... A15-17
Business & Finance B2-310	Personal Journal A11-12
Crossword..... A14	Sports..... A14
From Page One..... A10	Technology & Media B4-5
Heard on Street..... B12	U.S. News..... A2-7
Markets..... B11	World News..... A8-9



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Court Airs Skepticism on Tariffs

At hearing, justices question Trump's authority to bypass Congress tax power

By JESS BRAVIN AND GAVIN BADE

WASHINGTON—President Trump's global tariffs ran headlong into a skeptical Supreme Court on Wednesday, with justices across the spectrum expressing doubt that a 1970s emergency-powers law could be read to provide the president unilateral authority to remake the international

economy and collect billions of dollars in import taxes without congressional approval.

But even if the court strikes down the tariffs Trump initiated last April, the justices gave little indication how they might unwind the president's signature economic policy and favorite diplomatic tool, leaving unclear whether previously paid duties would be refunded or whether Congress could be invited to step in, perhaps by ratifying the levies retroactively.

"It seems to me like it could be a mess," Justice Amy Coney Barrett said during the later stages of an oral argument that ran nearly three hours.

Solicitor General John Sauer took heat from all sides as he pressed the administration's argument: that the president's power to regulate foreign financial transactions when he declares an emergency includes the authority to impose tariffs. Tariffs were taxes, a majority of justices agreed, and many were dubious that Congress would so casually surrender to the executive its core constitutional power to raise revenue.

"The Constitution is structured so that if I'm going to be asked to pay for something as a citizen, that it's through a bill that is generated through Con-

gress," Justice Sonia Sotomayor said. "But I'm not going to be taxed unless both houses" of Congress and the president "have made that choice."

Once granted to Trump, any future president could then deploy tariffs to pursue his or her favored policy, several justices observed.

To demonstrate the scope of Trump's claim, Justice Neil Gorsuch, potentially a key vote, offered an example anathema to the current administration: "Could the president impose a 50% tariff on gas-powered cars and auto parts to deal with the 'unusual

Please turn to page A10

Democrats See Path To Revival Following Big Wins

Voter shift is seen in races in Virginia, New Jersey and New York City

By AARON ZITNER AND ANTHONY DEBARROS

For Democrats, Tuesday brought more than three big election victories. It laid out a path to revival for a party that has been dispirited and disempowered under the dominance of President Trump.

Two women with centrist profiles and national-security backgrounds, Abigail Spanberger in Virginia and Mikie Sherrill in New Jersey, not only won their elections for governor but also did so with unexpectedly large margins—13 percentage points or more, nearly final results showed. Both had focused on an affordability agenda, promising to lower the cost of everyday life, while linking their opponents to Trump and the MAGA movement.

The two victories, along with the election of democratic socialist Zohran Mamdani as mayor of New York City, showed voters elevating a new generation of leaders, potentially infusing the party with new energy, though challenges remain. The debate between centrists and progressives over the direction of the party is unsettled, and Trump appears eager to use Mamdani as a new political cudgel.

But the results showed that Republicans have their own problems finding their footing with Trump in the White House, at least in politically competitive states. Neither GOP candidate for governor could outrun Trump's low approval ratings in New Jersey or Virginia. Some Republicans said the results showed that Democrats have the greater momentum ahead of next year's pivotal midterm elections.

Jack Ciattarelli, who was endorsed by Trump and embraced much of the MAGA movement during his campaign in New Jersey, was drawing 43% support in nearly final results—almost exactly in line with Trump's job-approval rating in the state. A large survey of Tuesday's elections showed that Democrats have the greater momentum ahead of next year's pivotal midterm elections.

Please turn to page A4

- ◆ **After losses, Trump calls** for end of filibuster..... **A4**
- ◆ **How Mamdani won over** one million votes..... **A6**



New York City Mayor-elect Zohran Mamdani held a news conference on Wednesday in Queens a day after his victory.

Wall Street Braces for Mayor Mamdani

By KEVIN T. DUGAN

Wall Street heavyweights failed to stop New York City voters from electing a democratic socialist mayor.

Now what?

There was an air of defeat on Tuesday evening in New York's upper echelons as it became clear that Zohran Mamdani won the mayor's race. Some top figures in the city's finance industry found the notion of a Mamdani administration unthinkable and spent millions of dollars to elevate other candidates.

Now, they have to work

with the new mayor—and hope their worst fears about his impact on the city's business climate won't come true.

"It's about public safety and quality of life more broadly," said Ed Skyler, an executive at Citigroup who served as a deputy mayor under former Mayor Michael Bloomberg. "Those go in the wrong direction, and any employer is going to have a hard time attracting and keeping good people."

Mamdani, 34 years old, rose swiftly from an outer-borough backbencher in the state Assembly to election as the city's chief executive by

harnessing the unrest many New Yorkers feel about being priced out. He promised an additional 2% tax on millionaires and to raise taxes on businesses to pay for free buses, expanded child care and city-run grocery stores.

Such policies didn't sit well on Wall Street. At first, the odds of a Mamdani victory seemed remote, but his Democratic-primary win in June jolted the finance industry into action. As the campaign heated up, firms such as Apollo Global Management and Citadel urged their employees to go out and vote.

The hedge-fund billionaire Bill Ackman spent more than \$2 million to stop Mamdani, though he was hardly the only one to throw money at less than competitive alternatives.

"He's spending more money against me than I would even tax him," Mamdani said of Ackman during a podcast episode that aired recently. "Every day it's like a million dollars, a million dollars—I don't even want that much!"

Surprisingly, it was Ackman

Please turn to page A6

- ◆ **Mamdani rewrote script** for how to win..... **A7**

At Age 89, Icahn Seeks To Repair His Legacy

By CARA LOMBARDO

Activist investor Carl Icahn says nothing compares to the thrill of being immersed in a fight.

For the past few years, the 89-year-old billionaire has been playing defense on several fronts.

He is trying to revive the fortunes of Icahn Enterprises, the publicly traded company that houses his investments, after a 2023 short-seller attack shaved billions of dollars off its market value and his own net worth. But a relationship with one member of the investing team recently turned contentious. And he feels it has become next to impossible for activists to wage the types of shareholder fights he loves and that have made him a fortune.

On the home front, as he nears his 90th birthday, he's faced recent health scares and has separated from his wife of

Please turn to page A2

FAA to Limit Airline Traffic



WAITING: Airline traffic will be reduced by 10% at 40 airports starting Friday as air-traffic controllers work without pay during the government shutdown and flight delays pile up. **A3**

Burger King Doesn't Want to Live In a World Without Pennies

Restaurant owners hoard coins to postpone new era of rounding; 'stuck with a math quiz.'

By HEATHER HADDON

Burger King is struggling with change. Specifically, pennies.

On a recent call, Burger King's technology specialists quickly moved on from cybersecurity and digital kiosks to a

more pressing problem: what the chain would do when it ran out of the one-cent coins.

Burger King operator Gary Andrzejewski isn't waiting around. The armored car service he uses recently cut off his penny deliveries, so An-

Please turn to page A12

AI Takes Over As Top Obsession For Musk

As Tesla investors weigh huge pay package, some wonder about his focus

When Elon Musk left DOGE in May, Tesla investors hoped its longtime leader would hurry back to headquarters to focus on reversing a sales slump and recharging the company. For much of the

By Alexander Saeedy, Berber Jin, Emily Glazer and Becky Peterson

summer, though, he was engrossed in something else.

Musk was holed up at his newest startup, xAI, trying to catch up in the artificial-intelligence arms race. Meetings with employees often stretched into the wee hours of the morning as they brainstormed ways to make Grok, its artificial intelligence, go viral, according to former executives and people who

worked with him.

He personally oversaw the design of a racy chatbot called Ani, an animated character with blonde pigtails and revealing outfits. Employees were compelled to turn over their biometric data to train avatars like Ani. Musk unwound by playing one of his favorite videogames, Diablo, for long stretches in his office. He tended to his children, who cycled in and out of the building.

At one point, Musk was spending so much time at xAI that he began holding meetings there with Tesla employees.

For years, the 54-year-old billionaire has balanced the responsibilities of running several fast-growing companies, including X and SpaceX,

Please turn to page A10